

Google's alleged monopoly and its implication for big tech.

From Chrome to anti-competitive practices, Google is being accused of conducting monopolistic behaviour by the Department of Justice (DOJ) as of October 20th 2020. This case has been progressing over time with new charges being introduced.

What is antitrust?



Many companies in the past have held positions referred to as monopolistic, for example Standard Oil. This title is given to companies that don't have any real competition in their market sector. Antitrust laws are put in place to help regulate monopolies. The practice of forming a monopoly isn't illegal though which can be a common misconception. What's illegal is the anti-competitive practices many companies that are monopolies use. This can include using price fixation – an agreement

between companies to control the prices in a market – or making exclusive agreements with other companies (Anticompetitive Practices, 2022). This is what Google is being accused of doing and what the lawsuit revolves around.

What will be the impact on consumers?

The persecutors have proposed several different ways of making Google compliant to antitrust laws as they are accused of monopolising in: search engines, digital advertisement and operating systems. One possibility is for Google to be forced to sell Chrome, although they've had a strong negative reaction commenting that the Department of Justice is pushing a "radical agenda" (McMahon, 2024). The sale of Chrome could lead to many changes in the actual software and its priorities. One example could be the order in which results are shown based on searches. As of now, the search engine employs over 200 factors (Austin, 2024) to rank a website to choose. As Chrome might lose access to many services/data provided by Google, these factors would have to adapt or be removed. This could decrease the search quality provided. Additionally, the open source – which means free for anyone to use and change – software Chrome is based on, which is called Chromium could get less funding. This is due to Google having no obligation of maintaining nor updating it as they wouldn't profit off Chrome anymore. With many web browsers being based on it – including Brave, Microsoft Edge, Opera and more – the industry might experience a lack of innovation. However, this could change public opinion of Google severely as they are project lead and the largest contributor, so it is not very likely to happen.

The future for tech giants?

Google's breakup could lead to other tech companies being scrutinised for similar reasons such as Apple or Meta. This could disturb these companies, majorly halting their innovation, yet it would allow for the removal of these monopolies and perhaps long term growth. It's a careful balance the Department of Justice has to keep. With the new administration change, the entire case might change as Trump has demonstrated to enact pro-corporate regulations and laws in his previous term in office.

References:

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